stitutes is worrying, signifying the wider ramifications of the economic slowdown.

What ails job creation? For one, it is an election year for two of the world's largest democracies—the US, where the presidential election is slated for November, and India, which has just concluded its general election. Companies usually avoid expanding or investing in greenfield projects, both crucial for the creation of new jobs and absorption of fresh talent, before a new government comes to power. Only once they know who is taking over do they declare their investment intents and greenlight them, says Aditya Mishra, CEO of HR services firm CIEL HR.

Moreover, many online tech firms, including those in ed-tech, grocery companies, IT and ITeS (IT-enabled services) and GCCs (global capability centres), overhired during 2021 and 2022, anticipating the exponential growth in digital services to continue post Covid. "Not only did the number of new hires grow 2x of a normal year, but those with 4-5 years of experience also landed packages of Rs 20 lakh and above, double the normal," Mishra says.

The tide turned by 2022-2023 as the slowdown in western markets and the Russia-Ukraine war forced companies to reassess and rationalise manpower. Reduced profitability impacted not just hiring in the IT/ITeS sector but also triggered layoffs. Thus, overall active job postings related to tech talent—from IT/ITes, tech startups, SaaS (software as a service) companies—and other non-tech sectors fell by 43 per cent in FY24 compared to the peak demand in FY22, says Kamal Karanth, co-founder of specialist staffing firm Xpheno.

Of these, the IT/ITeS cohort, a proxy for the employer market and the biggest talent absorber, is down by 41 per cent of the typical annual demand of 280,000-300,000. Of the 300,000 new hires, 80 per cent are freshers, the rest experienced lateral talent. In FY24, the number of entry-level talent addition dropped to 60,000, the lowest in two decades, and even lower than Covid year FY21, adds Karanth. "IT/ITeS firms haven't been to campuses for nearly two years now."

The slowdown is affecting not just those who have yet to land jobs but even those who have found employment. Data from the All India IT & ITeS Employees' Union (AIITEU) shows that IT/ITeS firms laid off around 20,000 tech professionals in 2023. And that, says Saubhik Bhattacharya, general secretary, AIITEU, is an underrepresentation, because IT/ITeS firms, to avoid reporting the layoffs to the Labour Department, often ask employees to resign voluntarily or face termination. Most employees opt for voluntary resignation to protect future job prospects.

Those who leave in the hope of better prospects also often find themselves out of the frying pan into the fire. IIT Bombay graduate Aditya Rajan (*name changed*) quit Wipro in 2021 after working for 1.2 years as a project engineer because he found the role unfulfilling. He has been unable to find a suitable job and has been working at his senior's startup since October 2022 for a token pay of Rs 3.6 lakh per annum, a significant drop from his earlier package of Rs 13.2 lakh.

"The hiring of top talent is down by 20-30 per cent, and for students, by 40 per cent," says Pasupathi Sankaran, COO of the AI-based recruitment platform HirePro. For mid-level colleges and management schools, which companies usually tap for bulk hiring, picking up 25,000-30,000 recruits, the number has plummeted to 10,000-odd.

Amit Karna, professor of Strategy at the IIM Ahmedabad, says that while they managed to place all their students, the number of offers saw a 10-20 per cent drop. "Students might not have received the variety of job offers their seniors did a couple of years ago," he explains.

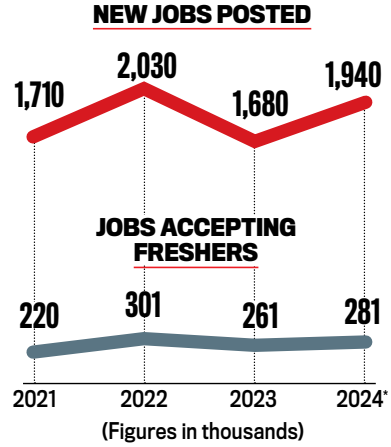
Victim of Their Own Aspirations

Recruiters attribute the 'joblessness' among IITians to also the high expectations. They are often unwilling to compromise on the company's brand or settle for low-paying jobs. A Delhi-based IIT student, speaking on condition of anonymity, says, "I received a job offer from a global manufacturing company, but the pay scale was low. I prefer to wait for the market to improve than be benchmarked against a low package." A founder of a five-year-old tech startup says he had reached out to a few final-year IIT students with job offers in product management, software development, DevOps Engineer and Business Development. "However, to my surprise," he says, "the students showed little interest. They were bent on the big brands and fat pay packages that seem unlikely in a downturn year."

Then there is the hierarchy within the IITs themselves. Electrical and computer science engineering students are considered top talent and hired by global technology firms or investment banks like Microsoft and Goldman Sachs. Students from mechanical, textile and civil engineering often switch streams and take up operational roles in business development, strategy, consulting and supply chain at global consulting firms or FMCG/retail brands. "This situation highlights a mismatch in the job market, particularly affecting non-cream branches like civil, biotech, production engineering where gradu-

THE GREAT MISMATCH

Entry-level jobs have been hit the hardest, as data from this online jobs portal indicates



(Figures in thousands)

Projected; Source: Naukri.com